

21. (2 points)

An insurance company recently expanded its homeowners line into a hurricane prone area.

a. (1 point)

Identify four forms of traditional risk management.

b. (1 point)

Briefly describe an action the insurance company can take to manage its risk for each strategy identified in part a. above.

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QUESTION 21	
TOTAL POINT VALUE: 2	LEARNING OBJECTIVE(S): C1, C2
SAMPLE ANSWERS	
Part a: 1 point	
<u>Sample 1</u> • Transfer • Avoidance • Mitigation • Acceptance	
<u>Sample 2</u> • Mitigation • Transference • Diversification • Avoidance	
Part b: 1 point	
<u>Sample 1</u> • Buy Reinsurance • Exit the Market • Increase deductibles • Retain the exposure	
<u>Sample 2</u> • Only write policies on houses up to a certain limit (eg. Refuse homes over \$500k to reduce severity) • Purchase reinsurance, issue CAT bond • Offset hurricane risk on east coast with wildfire risk on the west coast. This should help overall company risk management • Depending on country / state regulation, could issue policies that do not cover hurricane (much like flood in the US)	
EXAMINER'S REPORT	
Candidates were expected to know the four forms of traditional risk management, as well as strategies that an insurer could implement to manage its risk for each strategy listed in part a.	
Part a	
Candidates were expected to list four forms of traditional risk management.	
Common errors include:	
• Listing fewer than four forms of traditional risk management. • Listing one type of traditional risk management multiple times with different words (for example, listing elimination and transfer as two separate responses, with the same meaning as implied by the part b. response) • Listing types of risk instead of forms of risk management	
Part b	
Candidates were expected to briefly describe strategies than an insurer could implement to	

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manage its risk for each strategy listed in part a.

Common errors include:

- Not listing a strategy for each type of risk management noted in part a.
- Providing a strategy that did not correspond to the form of traditional risk management that was listed (for example, purchasing reinsurance as a way to mitigate the severity of the risk when purchasing reinsurance is a form of risk transfer / elimination)
- Providing strategies to manage a different form of catastrophe (i.e. earthquake) than the hurricane in the question